



A Partner With Communities Where Children Come First

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wkkf.org

March 2, 2026

Guy Bailey
President
University of Texas Rio Grande Valley
1201 W. University Drive
Division of Institutional Advancement
Edinburg, Texas 78539

RE: P-6042321-2025 (Please refer to this reference number in ALL correspondence/reports)

Dear Guy Bailey:

The W.K. Kellogg Foundation (the "Foundation") is pleased to award University of Texas Rio Grande Valley ("Grantee") a grant in the amount of \$150,000 for the period of March 01, 2026, through August 31, 2027 (the "Grant Period"), for the following charitable purpose: to develop food sovereignty in Texas' Lower Rio Grande Valley by training and resourcing beginning and under-resourced farmers, strengthening community-focused farm and food infrastructure, expanding equitable access to fresh foods and delivering health and nutrition education for children and families. Grant funds shall be used solely as specified in the application/proposal submitted on February 23, 2026, which is attached hereto (the "Project"), and in accordance with the following terms and conditions of this grant agreement (this "Agreement").

- Use of Funds:** Grantee shall use grant funds solely for the Project in accordance with the reporting period(s) and budget attached hereto as Schedule A (the "Budget"). As needed to accomplish the Project, Grantee's expenditures of grant funds by category may deviate from the Budget, provided that: (a) total expenditures for each reporting period must not exceed the total budgeted amount for the reporting period; (b) Grantee's expenditures for indirect costs must not exceed the budgeted amount for the Indirect Cost Budget category without prior written approval of the Foundation program officer; and (c) Grantee must notify the Foundation program officer if expenditures in one or more categories are expected to deviate significantly from the Budget. Expenses directly attributed to the Project are allowed. For instance, expenses charged to the Project for personnel must be based on actual time spent working directly on the Project as tracked through use of time sheets or time studies. If indirect costs are included in the budget, they are expenditures for activities or services that are an allocation or percentage of organization-wide expenses, such as utilities, rent, administrative or finance staff, etc. Any unexpended funds remaining at the end of the Grant Period must be returned immediately to the Foundation
- Payment:** The Foundation is making this grant on the condition that The University of Texas Rio Grande Valley Foundation ("Fiscal Sponsor") will receive all grant funds as Grantee's fiscal sponsor and ensure that such funds are spent in accordance with the Agreement, as agreed upon by the Foundation, Grantee and Fiscal Sponsor in a signed Fiscal Sponsor Addendum in the form attached hereto as Schedule B. Following the Foundation's receipt of Grantee's countersigned Agreement and the fully-executed Fiscal Sponsor Addendum, payment of \$150,000 will be made to Fiscal Sponsor.

3. **No Earmarking:** Beyond the rights and obligations specifically stated in this Agreement, the Foundation disclaims any right to control or otherwise influence Grantee's use of these grant funds. Accordingly, the Foundation has not engaged and will not engage in earmarking any funds under this Agreement.
4. **Subgrants and Subcontracts:** Grantee has the exclusive right to select subgrantees and subcontractors for the Project. Furthermore, the Foundation has not earmarked grant funds for any specific subgrantee or subcontractor. Grantee agrees that any subgrant utilizing funds from this grant must only be made to a governmental unit or an organization described in Section 501(c)(3) of the Code and is not a "private foundation" within the meaning of Section 509(a) of the Code. Financial reporting on subgrants must be done on a cash basis. Grantee, and not the Foundation, is responsible for ensuring that all subgrantees and subcontractors use grant funds consistent with this Agreement.
5. **Tracking Grant Funds:** Grantee must track and report the specific use of grant funds. Therefore, Grantee shall maintain a separate accounting for this grant through the use of a formal accounting system. This should be accomplished through the establishment of a separate general ledger account, fund or cost center for purposes of tracking the grant expenditures.
6. **Accounting and Audit:**
 - A. Grantee shall (i) maintain complete, accurate, and separate accounting, detailing receipts and expenditures made under the grant, and (ii) retain these records during the Grant Period and continuing at least four (4) years after receipt and acceptance of the final report. Grantee is encouraged to use all interest earned on grant funds to further the Project; however, a formal accounting of such income is not required. During this time, Grantee shall make such records available to the Foundation (or its designated representatives) during normal business hours for inspection or audit on reasonable notice to Grantee. The Foundation may also, on reasonable notice to Grantee, monitor and evaluate operations under this grant, including on-site visits to observe Grantee's procedures and talk with Grantee's personnel.
 - B. While grant funds are restricted and intended to be used solely for the Project, for financial accounting treatment, grant funds are not contingent/conditioned upon the accomplishment of any specific, measurable goal, metric or barrier.
7. **Reporting:** Grantee shall comply with the reporting requirements for this grant as described below. The following report(s) shall be submitted to the Foundation via its grantee portal:
 - A. Narrative report detailing progress made towards accomplishing Project goals, objectives and outcomes, including activities undertaken with Foundation grant funds.
 - B. Financial statement reporting expenditures of Foundation grant funds incurred against the Budget and directly tracked to the Project. This reporting should be done using consistent accounting practices (cash or accrual) and must be certified by Grantee's financial signatory (listed in the Grantee Contact Information section of the Agreement) or other agent authorized to submit financial accounting on behalf of the organization.

The Report(s) described above are due to the Foundation no later than three (3) months after the close of the Grant Period.

8. **Evaluation:** Evaluation is an essential, integrated part of the Foundation's grantmaking, as the Foundation views evaluation as an important tool to track impact and to generate learning. Toward that end, the Foundation encourages Grantee to strengthen and/or build its internal organizational capacity to produce and use data and knowledge in advancing its work. The Foundation recommends that Grantee consider developing an evaluation plan as a best practice so the evaluation activities and the reports will be guided by the plan. If required in the Reporting section, Grantee shall submit the evaluation report(s) created regarding the Project, in electronic format, along with Grantee's final narrative and financial reports.
9. **Legal and Tax Requirements:**
 - A. Grantee represents that it is, and Grantee shall remain through the Grant Period, (i) an organization in good standing, (ii) either a governmental unit or an organization described in Section 501(c)(3) of the U.S. Internal Revenue Code (the "Code"), (iii) not a "private foundation" within the meaning of Section 509(a) of the Code, (iv) not a Type III non-functionally integrated supporting organization (as defined in Section 4943(f)(5) of the Code), and (v) not any other supporting organization that is controlled directly or indirectly by a disqualified person with respect to the Grantee. Grantee shall notify the Foundation immediately of any change in its tax status.
 - B. Grantee shall expend grant funds only for charitable, educational, literary or scientific purposes as specified in Section 170(c)(2)(B) of the Code. In no event will Grantee use grant funds or any income earned thereon:
 - a) To carry on propaganda or otherwise to attempt to influence legislation (within the meaning of Section 4945(d)(1) of the Code).
 - b) To influence the outcome of any specific public election or to carry on, directly or indirectly, any voter registration drive (within the meaning of Section 4945(d)(2) of the Code).
 - c) To make grants to individuals or to other organizations for travel, study or similar purpose that do not comply with the requirements of Section 4945(d)(3) or (4) of the Code.
 - C. Grantee shall ensure that no part of the grant inures to the benefit of any private person or entity in violation of Section 501(c)(3) or 4941 of the Code, including but not limited to any Foundation trustee, officer or employee, his/her spouse or civil union partner, or any of their respective grandparents, parents, children, grandchildren or great grandchildren or their spouses for any purpose.
10. **Anti-Terrorism, Sanctions and Anti-Corruption Compliance:** Grantee certifies that Grantee is in compliance with all applicable anti-terrorist financing and asset control laws, regulations, rules and executive orders including but not limited to the USA Patriot Act of 2001 and Executive Order No. 13224. Furthermore, Grantee shall ensure that funds, whether directly or indirectly, will not be disbursed to: (i) any organization or individual listed on the United States Government's Terrorist Exclusion List or the Office of Foreign Assets Control (OFAC) Specially Designated Nationals & Blocked Persons List; or (ii) any organization that is fifty percent (50%) or more owned by one or more persons described in the foregoing clause (i). In addition, Grantee shall take reasonable steps to ensure that it does not support or promote terrorist activity or related training, or money laundering. Grantee shall not use, lend, contribute or make available

funds to any person for the purpose of facilitating or conducting any activity that would constitute or give rise to a violation of the U.S. sanctions laws by any party to this Agreement. Grantee further certifies that it is in compliance with the Foreign Corrupt Practices Act of 1977, as amended, and the rules and regulations thereunder (the "FCPA") and any other applicable anti-corruption law, and that Grantee has instituted and will maintain policies and procedures designed to ensure continued compliance with the FCPA and any other applicable anti-corruption law. Grantee will not, directly or indirectly, use funds in furtherance of an offer, payment, promise to pay, or authorization of the payment or giving of money, or anything else of value, to any third party in violation of the FCPA or any other applicable anti-corruption law.

11. **Racial Equity, Diversity and Inclusion:** The Foundation has a longstanding and ongoing commitment to racial equity, diversity and inclusion, both internally in its organizational ecosystem and externally through its programming, investments and community engagement efforts. The Foundation believes that racial equity is an aspirational pursuit insisting that all people – regardless of their racial/ethnic group identification, skin color or physical traits – will have equal opportunity to experience well-being in a just society. The Foundation strongly encourages racial and other forms of diversity by the Grantee in all aspects of the Project and throughout all levels of the organization. It is the Foundation's belief that embedding racial equity within all levels of an organization, together with racially equitable policies, processes and programming, are necessary to advance the kind of society that will produce thriving children.
12. **Discrimination and Harassment:** The Foundation also has a deep commitment to ensuring that our workplace is free from harassment and discrimination and expects Grantee to share this commitment by maintaining a workplace that does not tolerate harassment or discrimination and by investigating and responding effectively to any complaints. Towards that end, the Foundation expects Grantee to keep its organization free from unlawful harassment, including sexual harassment, and discrimination. Without limiting the foregoing, Grantee shall: (i) maintain workplace policies and practices that prohibit unlawful harassment and discrimination and provide multiple means to report complaints of unlawful harassment or discrimination; (ii) promptly investigate and address complaints; and (iii) protect employees from retaliation as a result of complaints. In addition, Grantee shall promptly notify the Foundation of any event or circumstance that is likely to impact Grantee's ability to effectively carry out the Project or that is likely to result in significant negative publicity for the Grantee or the Project.
13. **Ownership and Royalties:** Grantee will retain all right, title and interest in and to all Knowledge Products (as defined below) and other intellectual property, work products and works of authorship created or developed as a result of this grant (collectively, the "Developed Materials"). Any moneys realized from sales or licenses of Developed Materials must be utilized by Grantee exclusively for educational and charitable purposes and shall not inure to the personal benefit of any individual or noncharitable entity. Grantee hereby grants to the Foundation a perpetual, irrevocable, worldwide, fully paid-up, royalty-free, non-exclusive right and license, with the right to grant sublicenses, to use, publish, distribute, display, perform, reproduce, copy, modify and prepare derivative works based upon the Developed Materials, in whole or in part, for any and all non-commercial purposes.
14. **Knowledge Products:** The Grantee will follow the Foundation's then-current Knowledge Product Guidelines (the "Guidelines") in preparing and distributing publications, reports, briefs, research studies, videos, podcasts, presentations, websites, toolkits, webinars and other materials developed for external dissemination as a result of this grant ("Knowledge Products"). Without limiting the foregoing, the Grantee will acknowledge Foundation funding, consistent with the

Guidelines or as may otherwise be requested by the Foundation, in all Knowledge Products provided to the Foundation, with such acknowledgement to be sent to communications@wkkf.org for review and approval. Grantee understands and agrees that as part of (and without limiting) the license granted to the Foundation in the Ownership and Royalties section of this Agreement, the Foundation has the right, in its sole discretion, to publish Knowledge Products on Issue Lab (which currently hosts the Foundation's online resource directory) and other online knowledge repositories. For a Knowledge Product to be eligible for inclusion in the Foundation's online resource directory, the Foundation currently requires that the Knowledge Product: (1) acknowledge the Foundation as a funder (subject to obtaining permission as required in the Use of Logo/Letterhead/Copyright section of this Agreement), (2) cite all sources, and (3) be available to the general public free of charge.

15. **Termination/Repayment of Grant Funds:** The Foundation reserves the right to discontinue funding and terminate the grant at any time if the Foundation determines, in its sole discretion, that: (i) Grantee has not demonstrated meaningful progress toward achieving the Project goals and objectives within the Grant Period, (ii) Grantee has otherwise failed to comply with the terms of this Agreement, or (iii) Grantee has failed to take meaningful steps to prevent or respond to an allegation or incident of unlawful harassment or discrimination that may impact Grantee's ability to carry out the Project or cause damage to the Foundation's reputation. In the event the Foundation makes any such determination, the Foundation shall have the right to (a) discontinue any further payments to Grantee and (b) direct Grantee to repay to the Foundation any grant funds not expended in accordance with this Agreement.
16. **Release and Indemnity:** To the fullest extent permitted by law, Grantee shall release, indemnify, defend and hold harmless the Foundation and its directors, officers, trustees, employees, representatives and agents from and against any and all claims, demands, suits, damages, liabilities, injuries (personal or bodily), property damage, causes of action, losses, judgments, costs, expenses and penalties, including, without limitation, court costs and attorney's fees, arising out of (directly or indirectly) or related in any way to the negligence, acts or omissions of Grantee or any Grantee director, officer, employee, subgrantee, contractor or agent in connection with this grant, except to the extent resulting from the negligence or willful misconduct of the Foundation.
17. **Assignment Clause:** Grantee may not assign any rights or delegate any obligations created by this Agreement, in whole or in part, whether by operation of law or otherwise, without the prior written consent of the Foundation. Any assignment in violation of the foregoing is null and void. This Agreement will be binding upon the successors, legal representatives and permitted assigns of the parties.
18. **Use of Logo/Letterhead/Copyright:** The Foundation may make information concerning this grant public at any time on its website and as part of press releases, public reports and other public communications. Grantee may issue a press release or announcement about this grant in accordance with the guidelines provided by the Foundation. Grantee shall obtain advance approval from the Foundation's Communication Department for any use of the Foundation's names or logos.

19. **Governing Law and Compliance:** This Agreement will be governed by and construed in accordance with the laws of the state of Michigan, excluding any choice-of-law rules that would require the application of the laws of any other jurisdiction. Any dispute arising under or in connection with this Agreement will be brought exclusively in a state or federal court located in the State of Michigan, and each party hereby irrevocably consents to the exclusive jurisdiction thereof. Grantee will comply, and will ensure that all subgrantees comply, with all applicable local, state, federal and foreign laws and regulations.
20. **Entire Agreement; Severability; Modification; Precedence; Waiver:** This Agreement (including all Schedules and other attachments hereto, which are incorporated herein by this reference) contains the entire agreement between the Foundation and the Grantee relating to its subject matter and supersedes all prior and contemporaneous negotiations, correspondence, understandings and agreements between the parties relating thereto. If any term or provision of this Agreement is found to be illegal or unenforceable, this Agreement shall be construed as if such provision had been replaced by a valid provision carrying out the parties' intent as fully as possible and all other terms of this Agreement shall remain in full force and effect. This Agreement may be modified or amended only by mutual written consent of the parties. In the event of any conflict, inconsistency or ambiguity between the terms of this Agreement and any Schedule and other attachment, this Agreement will prevail. The Foundation's waiver or failure to enforce the terms and conditions of this Agreement in one instance shall not constitute a waiver of its rights hereunder with respect to other violations of this Agreement.
21. **Counterparts:** This Agreement may be executed in counterparts, and each counterpart will be deemed an original and all of which taken together will constitute one signed agreement between the parties. Such counterparts may be delivered in electronic format, including by facsimile, email or other transmission method, and such electronic delivery of an executed counterpart signature page to this Agreement shall be as effective as physical delivery of a manually executed counterpart. To the fullest extent permitted by law, any electronic signature to this Agreement shall have the same legal validity and enforceability as a manual signature, and the parties hereby waive any objection thereto. Minor variations in the form of the signature page, including footers from earlier versions of this Agreement, shall be disregarded in determining a party's intent or the effectiveness of such signature.
22. **Grantee Contact Information:** Grantee has indicated the following individuals hold key roles for this Project. Grantee shall provide written notification to the Foundation of any changes:

Signatory: Guy Bailey, President
Financial Signatory: Suelema Gonzalez, Director of Grants and Contracts
Project Director: Alexis Racelis, Associate Professor
23. **Foundation Contact Information:** Your Foundation contact information for this grant is as follows:

Program Officer: Devin Foote, devin.foote@wkkf.org
Grant Support: Jazmin Edwards, jazmin.edwards@wkkf.org, 269.969.2056

[Signature Page Follows]

If you have any questions about the terms or conditions of this Agreement, please contact the Foundation's Grant Services team at grantservices@wkkf.org. On behalf of the Foundation, I extend every good wish for the success of this effort.

Sincerely,

DocuSigned by:
Kimberly Roberts
B80DB38F787B4FC...

Kimberly Roberts

Senior Officer, Grant & Contract Services

The below authorized representative of University of Texas Rio Grande Valley accepts and agrees to the terms and conditions of this Agreement.

Signature of Grantee:

Signed by:
Guy Bailey
8511B380CEA44DC...

3/4/2026

Guy Bailey, President

Schedule A – Budget

	3/1/2026 - 8/31/2027
Personnel	\$ 76,374
Project Supplies	\$ 5,464
Sub-Granting	\$ 68,162
Total	\$150,000